The Liquidity Engine

```
Liquidity Above (Stop Loss / Breakout Longs)
              ▲
              |
      🔵 Blue Zone
     Resistance / Trap
              |
_________________________
      SIDEWAYS RANGE
_________________________
              |
      🟡 Yellow Zone
    Liquidity Sweep
              |
              ▼
Liquidity Below (Stop Loss / Panic Shorts)
```

Inside the range, price is not trending because:

- **buyers run out of liquidity**
- **sellers run out of liquidity**

So the market hunts both sides.

The Real Liquidity Cycle

The engine usually runs like this:

```
1️⃣ Sweep Liquidity
2️⃣ Absorption
3️⃣ Control Shift
4️⃣ Expansion
```

In 4-Color Language

Bullish Engine

```
Liquidity Sweep
🟡 Yellow
↓
Buyers absorb sells
🟢 Green
↓
Expansion
More Green candles
```

Meaning:

- stops below get eaten
- sellers trapped
- price moves up

Bearish Engine

```
Liquidity Trap
🔵 Blue
↓
Sellers absorb buys
🔴 Red
↓
Expansion
More Red candles
```

Meaning:

- breakout traders trapped
- buyers stuck
- price moves down

Why Price Often Sweeps BOTH Sides

This is the trick many traders miss.

Before a real move you often see:

```
Sweep Low
↓
Sweep High
↓
REAL TREND
```

Why?

Because the market needs **maximum liquidity** to fill large positions.

So it collects:

- stop losses below
- breakout traders above

Then it runs.

What This Looks Like On Your Chart

Typical pattern:

```
🟡 → 🟢 → 🔵 → 🔴 → TREND
```

or

```
🔵 → 🔴 → 🟡 → 🟢 → TREND
```

That is basically **liquidity loading before expansion**.

How AD Helps Confirm

Your **AD layer is the truth detector**.

Example:

Price	AD	Meaning
Price sweep low	AD rising	buyers absorbing
Price sweep high	AD falling	sellers absorbing

The Simple Rule

Liquidity candles (Blue / Yellow) = traps forming
Control candles (Green / Red) = direction forming

So the engine is basically:

```
Liquidity
↓
Trap
↓
Control
↓
Expansion
```